

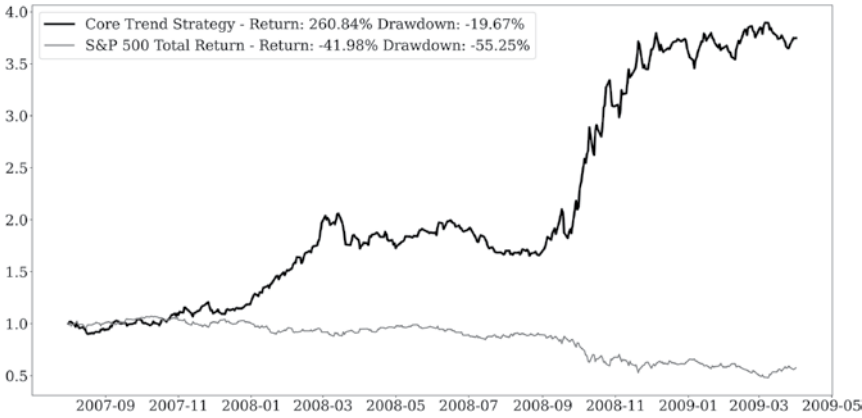


FIGURE 5.6 The GFC crash.

had record returns. This was a remarkable year, and we'll return to it in much more detail in Chapter 6. It was the best year ever for trend followers, with shockingly strong returns.

Lastly, let's see how the strategy fared during March of 2020. If you don't know what I'm talking about this time, I have plenty of sympathy for that. We've all tried our best to forget about Covid (Figure 5.7). The impact on the financial system was swift and shocking, and markets fell hard on this new and unpredictable event. Even though the stock markets recovered fairly quickly, surprisingly quickly to most, it was a very scary event at the time. Yet again, trend-following models were already well positioned and as the markets fell hard, trend followers gained. In that first scary month, the

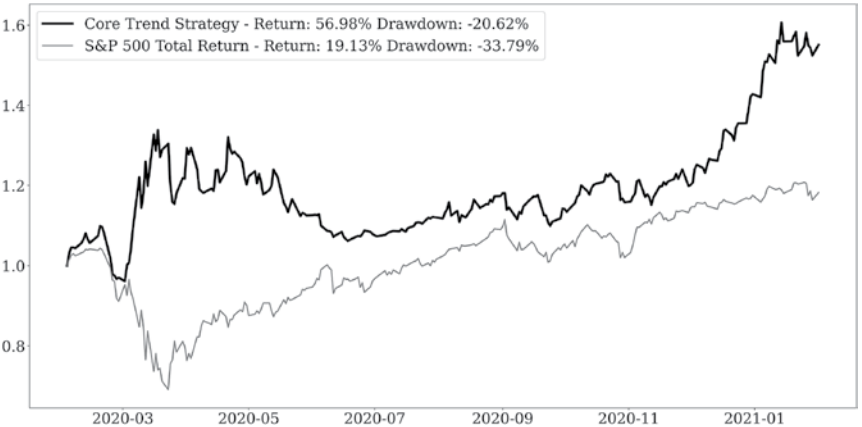


FIGURE 5.7 The Covid situation.